

02.5 Customers

The Business Master Platform also showcases the Allianz Customer Model philosophy by providing one look and feel and an outstanding user experience that gives our customers, agents and partners anywhere in the world the same experience and satisfaction when interacting with Allianz.

For example, the claims tracker provides full transparency to customers throughout the claims process. Customers can easily access the tracker and navigate with just a few clicks to choose the preferred settlement option and repair shop, and receive confirmation of the repair appointment with a rescheduling option.

Currently, more than 20 different assets have been implemented across five operating entities.

Responsible sales

Allianz Group Sales Compliance Standard aims to promote and protect the interests of our customers. It is designed to promote transparency and ensure fair, honest and responsible treatment of Allianz customers in their purchase of our financial products and their dealings with us.

The Standard, managed by Group Compliance, has set out the foundation for a comprehensive customer protection framework created to ensure all Allianz entities adhere to its prudential norms and robust protection.

It covers five key areas to address conduct risk: Product Oversight and Governance; Incentives and Steering of Distributors; Standard of Distribution; Sales Force Selection and Training; and Monitoring and Reporting.

The Standard reflects our strong commitment to fairness and transparency as outlined in Allianz's Code of Conduct. The Code emphasizes that being fair and transparent with our customers is the best way to gain the long term trust of our customers.

02.6 Own operations

Environmental management of our operations

This section contains data related to the environmental performance of Allianz Group.

Table ENV-1

EMS Coverage

As of December 31		2022	2021	2020
Share of employees in scope of our environmental management system (EMS)	%	95	96	97

Table ENV-2

Greenhouse gas emissions

As of December 31		2022	2021	2020
Scope 1 – Direct GHG emissions	t CO ₂ e	30,953	28,699	28,714
Scope 2 – Indirect GHG emissions (market based)	t CO ₂ e	30,490	54,689	100,722
Scope 2 – Indirect GHG emissions (location based)	t CO ₂ e	138,339	149,599	180,826
Scope 3 – Other indirect GHG emissions	t CO ₂ e	92,467	55,359	73,916
Scope 1–3, GHG emissions total	t CO₂e	153,910	138,746	203,352
Total GHG Emissions per employee	t CO ₂ e/empl	1.0	0.9	1.4
Overall GHG reduction per employee since 2019	%	-57	-60	-42
Board target -50% by end-year 2025				
Carbon Credits	t CO ₂ e	153,910	138,746	203,352

Table ENV-3

Energy consumption

As of December 31		2022	2021	2020
Energy consumption from our office buildings	GJ	1,578,675	1,675,573	1,802,755
Energy consumption from our data centers	GJ	325,212	267,675	317,533
Total energy consumption¹	GJ	1,965,294	1,943,248	2,120,288
Energy consumption from office buildings per employee	GJ/empl	10.4	11.3	12.2
Energy reduction in office buildings per employee since 2019	%	-32	-26	-20
Target -20% by year-end 2025				

Table ENV-4

Energy sources

As of December 31		2022	2021	2020
Electricity	%	67.4	67.1	70.2
Fossil fuels	%	12.4	11.5	11.0
Long distance heating	%	18.8	19.8	17.6
Other sources (incl. energy from own sources including photovoltaic, internal waste heat)	%	1.4	1.6	1.2

Table ENV-5

Renewable electricity

As of December 31		2022	2021	2020
Renewable electricity	GJ	1,153,987.2	1,001,859.2	854,762.3
Renewable electricity as a share of all electricity sources	%	89	77	57
Board target 100% by 2023				

1 The total energy consumption includes also energy from remote working.

02.6 Own operations

Table ENV-6

Business travel

As of December 31		2022	2021	2020
Total travel	km	487,268,283	226,377,786	356,560,721
Road travel (incl. rental, fleet, and private cars)	%	50.5	81.4	61.5
Air travel	%	41.6	14.7	31.4
Rail travel	%	8.0	3.9	7.1
Travel per employee	km/empl	3,204	1,529	2,421
Total GHG emissions from business travel	t CO ₂ e	74,339	39,570	56,316
GHG emissions from business travel per employee	t CO ₂ e/empl	0.5	0.3	0.4 ¹
GHG reduction from business travel per employee since 2019 ¹	%	-47	-71	-59 ¹
Target -40% by year-end 2025				
GHG emissions from travel (share of total GHG emissions)	%	48	29	28
% of OEs have a 'Green commuting plan' in place (on headcount basis)	%	66	65	n/a

Table ENV-7

Water consumption

As of December 31		2022	2021	2020
Total water consumption	m ³	1,307,990	1,237,598	1,592,564
Drinking water	%	93.0	93.0	93.4
Rain water	%	0.8	0.5	0.4
Natural water	%	6.2	6.4	6.3
Water consumption per employee	m ³ /empl	9	8	11
Water consumption reduction per employee since 2019	%	-39	-41	-23
Target -10% by year-end 2025				

Table ENV-8

Waste

As of December 31		2022	2021	2020
Total waste	t	10,839	12,064	14,395
Waste Incinerated	%	38.7	36.2	36.2
Waste Recycled	%	43.2	46.6	45.6
Waste to Landfills	%	17.8	16.9	18.0
Special Waste Treatment	%	0.3	0.3	0.2
Waste per employee	kg/empl	71	81	98
Waste reduction per employee since 2019	%	-48	-41	-29
Target -10% by year-end 2025				
% of OEs have 'Action on Plastic' in place (on headcount basis)	%	71	67	n/a

¹ GHG emissions from business travel (absolute and relative) have been restated for 2019 (Old absolute: 124,354 t CO₂e) and 2020 (Old absolute: 52,959 t CO₂e), please see our explanatory notes.

03.1 The global challenge and the role of Allianz

03.1.1 The net-zero challenge

Human-made climate change, one of the greatest global challenges of our time, has already caused far-reaching negative consequences and losses for nature and people, and various human and natural systems are being stressed beyond the limits of their adaptive capacity. Therefore, irreversible damage has already started to occur.

In order to stop these developments, the Paris Agreement of 2015 set the goal of limiting global warming to a maximum of 1.5°C by the end of the century. This results in a fixed carbon emissions budget, i.e. an upper limit for global emissions that may still be released. Including a small risk buffer for self-reinforcing climate change feedbacks or delays in the use of negative emissions, a maximum of roughly 300 billion tons of carbon emissions may be emitted worldwide to limit warming in 2100 to 1.5°C with a probability of 67 %.¹

Based on modelled emission pathways from IPCC² (with an overview within figure 1) with little or no temperature overshoot of 1.5°C, emissions need to be halved every decade. But instead, in 2021, annual emissions reached a record level of 39 billion tons³, so if current trends continue the budget will be exceeded way before 2030 and 1.5°C will be overshoot. This increases the need for an even more rapid transition later on as well as the use of atmospheric carbon removal, i.e. negative emission solutions to bring back warming to 1.5°C by the end of this century.⁴

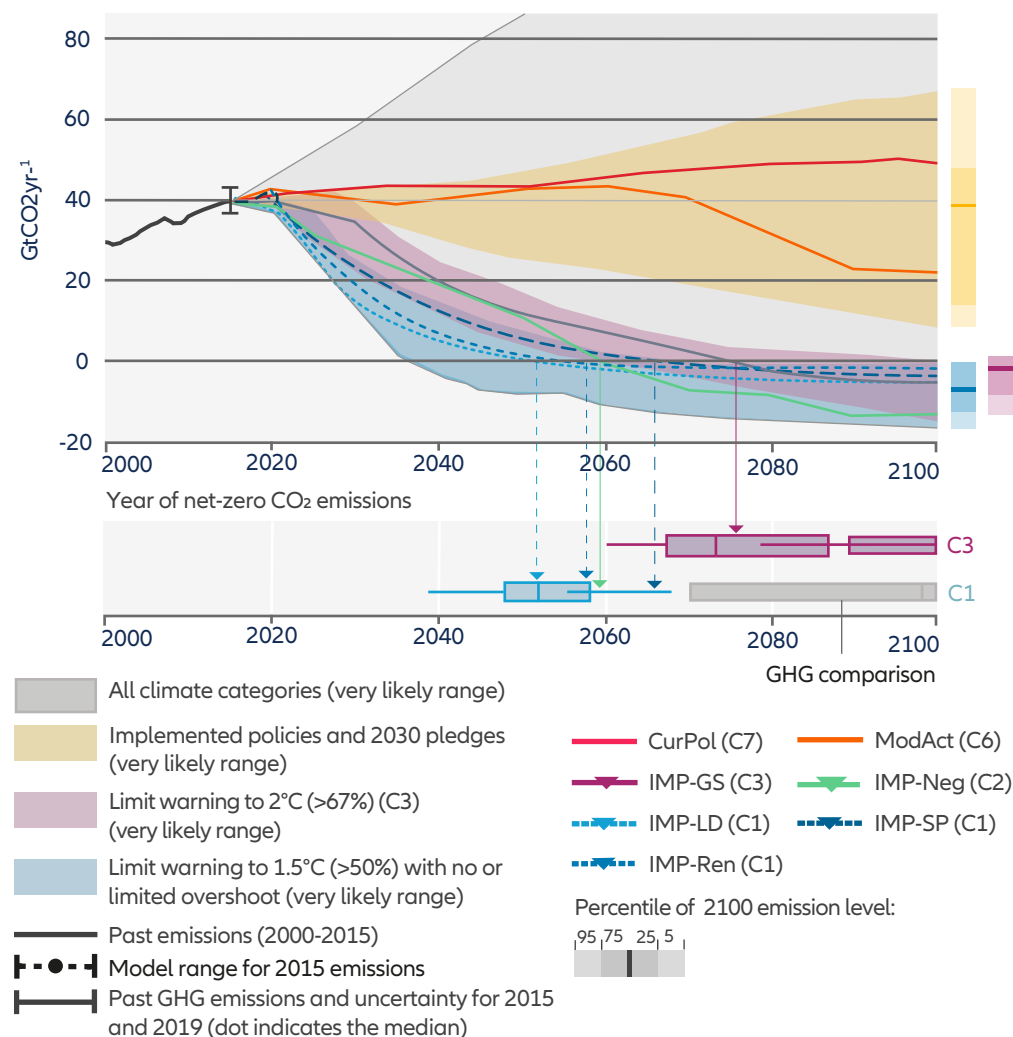
1 Source: IPCC Assessment Report 6 Working Group I Table SPM.2.

2 Intergovernmental Panel on Climate Change.

3 Source: U.N. Emission Gap Report 2022.

4 Source: IPCC Assessment Report 6 Working Group III.

Figure 1: Global CO₂ emissions pathways (source: IPCC AR6)



03.1 The global challenge and the role of Allianz

03.1.2 Our climate footprint

Allianz's Group Climate Change Strategy commits us to reach net-zero greenhouse gas (GHG) emissions by 2050 across our business in line with the 1.5°C pathway. This is translated into dedicated strategies and targets across our value chain emissions: Our business operations (scope 1, 2 and most material scope 3 emissions), our proprietary investments (scope 3 category 15 'financed emissions'), as well as our insurance underwriting (scope 3 category 15 'insurance-associated emissions')¹, for our business operations is even by 2030.

For insurance-associated emissions the methodology is currently been jointly developed by the Net-Zero Insurance Alliance and Partnership for Carbon Accounting Financials.

Proprietary investment portfolio carbon footprint

Both our listed equity and corporate bonds portfolios have undergone considerable changes in the past three years, characterized by the economic impacts of the COVID-19 pandemic, the war in Ukraine, and the first impacts of our portfolio steering towards the climate targets.

Since 2019, we achieved a reduction of absolute emissions by -35 % and are below our target of -25 % for 2024. Portfolio reallocations contributed -26 %p, overwhelmingly driven by intra-sector shifts to lower-emitting companies (i.e., inside utilities and manufacturing sector). Real world emission reductions by investee companies contributed -6 %p; the remaining effects can be attributed to a change in the denominator (EVIC). This shows that stronger short-term actions by investee companies on emission reductions are necessary.

In 2022, we added carbon footprint figures for parts of our real estate portfolio (direct and joint ventures), for our direct infrastructure equity portfolio (without co-investments) and for our sovereign portfolio, in total now covering 59.6 % of our investment portfolio. For further details about targets for infrastructure equity (direct) and real estate (direct/JV), please refer to section 02.2.2. Allianz is working with the AOA to finalize the methods for sovereign bonds as next asset class. We will set targets for this asset class within 12 months after the recommended methodology is released by the AOA.

Figure 2a: Allianz Group greenhouse gas emissions (mn tCO₂eq)

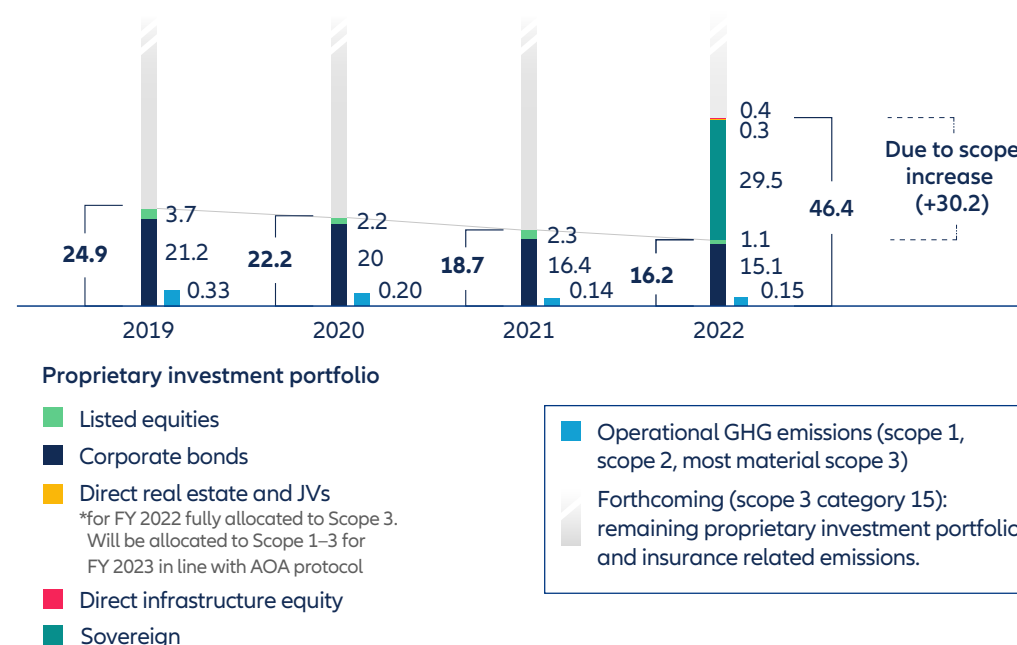
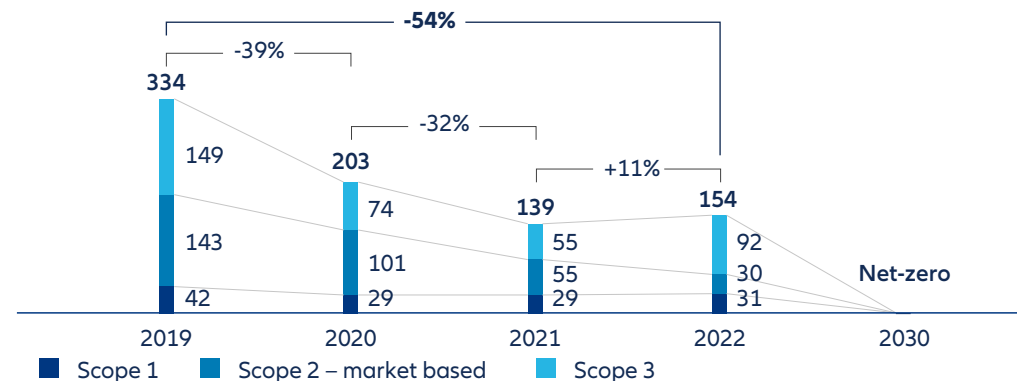


Figure 2b: Allianz Group operational greenhouse gas emissions (ktCO₂eq)



1 As per greenhouse gas (GHG) Protocol.

03.1 The global challenge and the role of Allianz

Table TCFD-1

Portfolio carbon footprint overview

Indicator	Components/Sub-indicators	Unit	2022	2021 ¹	Δ y-o-y
Total	AuM	€ bn	701.1	849.2	-17.4%
	AuM covered with CF methodology	€ bn	418.2	246.3	69.8%
	Share of AuM covered with CF methodology	%	59.6	29.0	30.6%-p
	Carbon footprint absolute emissions	mn t CO ₂ e	46.3	19.1	142.2%
	Carbon footprint relative emissions	t CO ₂ e/€ mn invested	110.8	77.7	42.6%
Corporate bonds	Corporate bonds Portfolio AuM	€ bn	193.4	197.6	-2.1%
	Corporate bonds Share of total AuM	%	27.6	23.3	4.3%-p
	Corporate bonds Absolute emissions	mn t CO ₂ e	15.1	16.4	-8.0%
	Corporate bonds Relative emissions	t CO ₂ e/€ mn invested	78.1	83.2	-6.1%
	Corporate bonds Emissions data coverage	%	79.2	73.0	6.2%-p
Listed equities	Listed Equities, Portfolio AuM	€ bn	21.0	40.8	-48.4%
	Listed Equities, Share of total AuM	%	3.0	5.0	-2.0%-p
	Listed Equities, Absolute emissions	mn t CO ₂ e	1.1	2.3	-50.9%
	Listed Equities, Relative emissions	t CO ₂ e/€ mn invested	52.7	55.7	-5.3%
	Listed Equity Emission data coverage	%	95.0	97.0	-2.0%-p
Sovereigns	Sovereign, Portfolio AuM	€ bn	153.0	n/a	n/a
	Sovereign, Share of total AuM	%	21.8	n/a	n/a
	Sovereign carbon footprint absolute emissions	mn t CO ₂ e	29.5	n/a	n/a
	Sovereign carbon footprint relative emissions	t CO ₂ e/€ mn invested	192.6	n/a	n/a
	Sovereign Emission data coverage	%	99.7	n/a	n/a
Real estate	Real estate, Portfolio AuM	€ bn	43.0	n/a	n/a
	Real estate, Share of total AuM	%	6.1	n/a	n/a
	Real estate carbon footprint absolute emissions	mn t CO ₂ e	0.3	n/a	n/a
	Real estate carbon footprint relative emissions	kgCO ₂ e/sqm	33.0	n/a	n/a
	Real Estate Emission data coverage	%	60.6	n/a	n/a
Infrastructure	Infrastructure equity, Portfolio AuM	€ bn	7.7	7.9	-2.2%
	Infrastructure equity, Share of total AuM	%	1.1	0.9	0.2%-p
	Infrastructure equity carbon footprint absolute emissions	mn t CO ₂ e	0.4	0.4	-11.4%
	Infrastructure equity carbon footprint relative emissions	t CO ₂ e/€ mn invested	60.3	63.9	-5.7%
	Infrastructure equity Emission data coverage	%	83.3	87.0	-3.7%-p

The past three years showed why we believe that both absolute and relative indicators are necessary to measure the carbon performance of portfolios. Relative indicators are sensitive to changes in either direction in both company valuation and company sales, whereas absolute emissions are sensitive to strategic asset allocation shifts.

It should also be noted that our current emission Scope is 1 and 2 and does not consider emissions in the wider value chain of investees, which can be significant for many sectors. While data quality for Scope 3 emissions is still comparably low, there is merit in sector specific Scope 3 indicators and data to determine if companies and their products are on a pathway consistent with our 1.5°C ambition. We are working to develop these indicators also as part of our work with the AOA. We are also calling for harmonized carbon disclosure requirements across all three scopes of greenhouse gas emissions.

 **The detailed methodology and respective metrics for the carbon footprint can be found in section 01 of our Explanatory Notes.**

¹ Infrastructure equity asset class disclosed since 2022, but prior year numbers available. These numbers are included in the Total AuM for 2021. Hence, the total absolute emissions in Allianz Group Sustainability Report 2021 (18.7 mn t CO₂e). Please note that 2021 corporate bonds share of total AuM was restated.

03.1 The global challenge and the role of Allianz

03.1.3 Climate-related risks and opportunities

Climate change will materially affect global economies and Allianz's lines of business. The risks and opportunities emerging today will increase over the mid- and long-term. They include acute and chronic physical impacts on property and human health such as warming temperatures, extreme weather events, rising sea levels, intensifying heatwaves, droughts and potential changes in vector-borne diseases.

Risks and opportunities also result from the cross-sectoral structural change stemming from the transition to a low-carbon economy. These transition risks include the impacts of changes in climate policy, technology and market sentiment, and impact thereof on the market value of financial assets, as well as impact resulting from climate change litigation.

Impact on our business and impact of our business

Allianz Group is exposed to risks that are influenced by climate change in a multitude of ways. We are particularly impacted in two key ways through our

core business activities, both of which can influence the ability of assets to generate long-term value:

1. As an insurer providing insurance policies, e.g. covering health impacts, property damage or litigation claims, and through changes in the sectors and business models we underwrite.
2. As a large-scale institutional investor with significant stakes in various economies, companies, infrastructure and real estate that might be affected by the physical impact of climate change and the transition to a low-carbon economy.

The largest risks in our risk profile are market risks, especially equity risk, credit and credit spread risks driven by assets backing long-term liabilities. P&C premium and reserve risks, resulting from natural and man-made catastrophes and from claims uncertainty, must be considered.

➤ In section 03.4 we disclose different quantitative and qualitative assessments for physical and transition risks.

As well as being impacted by climate change, the choices Allianz makes about how to conduct its business have an impact on climate change, e.g. by investing in or insuring activities which either cause or reduce GHG emissions. To manage potentially detrimental impacts on both climate and our business, we have committed to align our proprietary investment and insurance underwriting portfolios to 1.5°C climate scenarios.

Table TCFD-2

Exemplary illustration of climate risks translation

Risk category	Climate-related changes		
Physical	Acute	First-order hazard/risk Like extreme weather, heat stress, etc.	Second-order risk Like soil moisture deficit, coastal erosion etc.
	Chronic	First-order hazard/risk Like changing temperature patterns or rising sea levels, etc.	
Transition	Policy and legal		
	Technology		
	Market		
	Reputation		
Litigation	Litigation for (enabling) GHG/emissions/failure to mitigate, etc.		
	Litigation for insufficient disclosure, adaptation, etc.		